

Here is the next section for the account plan, structured to provide our extended Red Hat team and partners with a deep dive into Hershey's market environment and competitive landscape.

Industry and Market Environment

What services or products do they provide to the market? Hershey provides a diversified portfolio across three main categories: 1) **Chocolate and non-chocolate confectionery** (e.g., *Hershey's*, *Reese's*, *Kit Kat* (US), *Jolly Rancher*, *Twizzlers*); 2) **Salty Snacks** (e.g., *SkinnyPop*, *Dot's Homestyle Pretzels*, *Pirate's Booty*, *LesserEvil*); and 3) **Protein and Functional Snacks** (e.g., *ONE* bars, *FULFIL*) 1-4. They also offer baking ingredients, pantry items, and direct-to-consumer experiences like Hershey's Chocolate World 2, 5.

What is their business model? Hershey generates revenue primarily through wholesale distribution to mass merchandisers, grocery stores, wholesale clubs, and convenience stores 6. To achieve their strategic objectives, they recently integrated their sweet, salty, and protein divisions into a **"ONE Hershey" commercial model**, enabling them to sell a cohesive "total snacking solution" to retail partners 7, 8. Their monetization tactics rely heavily on a tiered price-pack architecture (from single-serve to club-size), seasonal programs (Halloween, Easter, etc., which drive over 30% of confection revenue), and direct-store-delivery (DSD) for high-velocity salty snacks 9.

How do they differentiate themselves from the competition (is technology a differentiator)? Hershey differentiates itself through 130 years of brand equity, massive scale, and serving as a category management advisor to mega-retailers like Walmart 10, 11.

Technology is a massive differentiator for them. Building on their SAP S/4HANA backbone, Hershey is actively deploying advanced "Agentic AI" across the enterprise 12, 13. In marketing, an AI-powered media mix model evaluates real-time data to pivot advertising spend overnight, prioritizing consumer "resonance" over mere "reach" 14, 15. In manufacturing, their "Digital Lean" and "Connected Worker" programs utilize a Unified Name Space (UNS) architecture to stream real-time operational data, generative AI-created training, and predictive analytics directly to factory floor operators 16.

Who are the customer's main competitors, and what is the customer's market position? Hershey boasts a dominant market position: they are **#1 in U.S. Confectionery** (holding an estimated 33.5% to 45% share of the chocolate market) and **#2 in U.S. Snacking** overall 17, 18. Their primary competitors are:

- **Mars, Inc.:** Their biggest rival, who recently acquired Kellanova to form a snacking behemoth with immense retail leverage 19, 20.
- **Mondelez International:** Dominates the global and biscuit markets, challenging Hershey internationally 19.
- **Ferrero Group & Lindt:** Pressuring Hershey in the premium, gifting, and seasonal chocolate spaces 19.
- **PepsiCo (Frito-Lay):** The dominant giant in salty snacks, whom Hershey combats via agile, "better-for-you" niche brands 19.

What trends are impacting the customer's industry? The industry is undergoing a "Snacking Revolution." Consumers are increasingly embracing **"snackification"** (replacing traditional meals with snacks) while simultaneously demanding **"Better-For-You" (BFY) and functional products** 21, 22. This shift is heavily influenced by health and wellness trends and the rising adoption of GLP-1 weight-loss medications, pushing consumers toward high-protein, low-sugar,

and portion-controlled items 23, 24. Additionally, the rapid growth of social commerce and digital direct-to-consumer (D2C) channels is forcing brands to rethink how impulse buys happen online 25.

What economic, political, or regulatory trends are affecting the customer's business?

- **Economic:** Hershey has been battered by extreme commodity volatility. Cocoa prices surged nearly 100% in 2024-2025 due to weather and aging trees in West Africa 26. To protect margins, Hershey enacted aggressive price increases, which triggered some consumer pushback and volume elasticity 27, 28.
- **Regulatory & Political:** The **EU Deforestation Regulation (EUDR)** poses a massive compliance burden, requiring Hershey to utilize GPS polygon mapping to prove cocoa entering Europe is deforestation-free by the end of 2026 29, 30. Domestically, the FDA's proposed **Front-of-Package (FOP) labeling** rules for high sugar and sodium pose a threat to legacy candy perception, demanding rapid recipe reformulations 29. Furthermore, reliance on imported commodities keeps them highly sensitive to global tariffs and geopolitical instability in West African sourcing regions 31.